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Politicians and Banks: Political Influences on Government-Owned Banks in Emerging Markets

Contents

1 Big picture

2 Data and measurement

- 2.1 Sample construction
- 2.2 Government ownership variable
- 2.3 Election variable
- 2.4 Main dependent variable
- 2.5 Bank-level controls
- 2.6 Macroeconomic controls

3 Empirical specification and interpretation

- 3.1 Baseline difference-in-differences equation
- 3.2 Coefficient of interest
- 3.3 Role of the election dummy
- 3.4 Role of bank fixed effects
- 3.5 Role of year effects
- 3.6 Sequential exogeneity and estimation

4 Identification and credibility

- 4.1 Identification logic
- 4.2 Why elections are useful events
- 4.3 Why private banks are the control group
- 4.4 Main threats to interpretation
- 4.5 How the paper addresses these threats

4.6	What the design does not prove	
5	Tables and results	
5.1	Table 1: Bank ownership around the world in 1994	
5.2	Table 2: Available bank-year observations	
5.3	Table 3: Descriptive statistics	
5.4	Table 4: Main election-year lending results	
5.5	Table 5: Macroeconomic controls	
5.6	Table 6: Different slopes for government-owned banks	
5.7	Table 7: Timing of elections	
5.8	Table 8: Alternative samples	
5.9	Table 9: Pre-election and post-election years	
6	Short summary	
6.1	What the paper asks	
6.2	What the paper does	
6.3	What the paper finds	
6.4	Why the result is credible	
6.5	Why it matters	
7	Conclusion	
7.1	Core conclusion	
7.2	Economic intuition	
7.3	Policy implication	
7.4	Limits and future research	
7.5	Takeaway	

1 Big picture

- **Question.** Do politicians use government-owned banks for political purposes, especially around elections? More concretely, do government-owned banks increase lending in election years relative to private banks?
- **Setting.** The paper studies large banks across major emerging markets and developed economies from 1994 to 2000. The key empirical comparison is between government-owned and private banks in the same country and around the same election cycle.
- **Why banks?** Government ownership of banks gives politicians direct control over financial resources. This is different from ordinary regulation. A state-owned bank can move credit to favored borrowers, regions, firms, or voters through its balance sheet.
- **Why elections?** Elections are periods when incumbents have especially strong incentives to use state resources to improve reelection chances. If lending by government-owned banks is politically motivated, the electoral cycle should reveal it.
- **Core identification idea.** The paper compares changes in lending by government-owned banks to changes in lending by private banks during election years versus non-election years. This is a difference-in-differences design at the bank-year level.
- **Main empirical result.** In emerging markets, government-owned banks increase lending in election years relative to private banks. The main election-year interaction coefficient is about 0.055, meaning an increase of roughly 5.5 percentage points of lagged assets.
- **Economic magnitude.** The implied election-year lending increase is large: about 11% of the total loan portfolio of a government-owned bank, or roughly 0.5% of the median country's GDP per election per government-owned bank.
- **Important asymmetry.** The election-year lending effect is found in emerging markets, not in developed economies. This fits the idea that political control over state banks is more consequential where institutional checks are weaker and state-owned banks are more central to credit allocation.
- **Broader message.** The ownership of banks matters. Financial systems cannot be fully understood without considering political incentives, because state ownership can turn banks into instruments of electoral policy.
- **Takeaway.** The paper provides direct cross-country, bank-level evidence that politicians influence government-owned banks. State bank lending is not just a developmental tool; it can also be an electoral tool.

2 Data and measurement

2.1 Sample construction

The main data source is **Bankscope**, supplemented by earlier Bankscope CD-ROMs, Factiva, local sources, and hand-collected ownership information. The sample period is 1994–2000.

The starting country sample is based on emerging markets and developed countries regularly covered by *The Economist*, augmented by OECD members. Since the design relies on elections, the paper keeps only countries with free or partially free elections according to Freedom House. China, Egypt, and Indonesia are excluded.

For each country, the paper starts with the **ten largest banks by assets in 1994**. Central banks and investment banks are excluded. Using the 1994 ranking avoids picking banks based on later outcomes and helps reduce survivorship concerns.

The main regression sample includes only countries with at least one private bank and at least one government-owned bank among the largest banks. This leaves:

- 36 countries in the main sample;
- 19 emerging markets;
- 17 developed economies;
- 349 banks and 2,058 bank-year observations in the unbalanced panel.

India and Taiwan are excluded from the main regression sample because all ten of their largest banks are government-owned in 1994. Canada, Denmark, Japan, the United Kingdom, and the United States are excluded because all ten of their largest banks are private in 1994.

2.2 Government ownership variable

Following the ownership convention in La Porta et al. style corporate-control work, a bank is classified as government-owned if the government controls it directly or indirectly at the 20% level or higher:

$$\text{GovtBank}_{it} = 1 \iff \text{government control of bank } i \text{ in year } t \geq 20\%.$$

A bank is classified as private if government control is below 20%:

$$\text{Private}_{it} = 1 \iff \text{government control of bank } i \text{ in year } t < 20\%.$$

Ownership is hand-collected year by year. This matters because banks can be privatized, nationalized, acquired, or rescued during the sample period.

2.3 Election variable

The election variable equals one in the year when elections determining the head of government take place:

$$\text{Election}_{ct} = 1 \iff \text{country } c \text{ has a general election determining the head of government in year } t.$$

For presidential systems, the relevant election is the presidential election. For parliamentary systems, the relevant election is the legislative election determining the prime minister or governing party.

The paper also constructs alternative timing variables:

- **Pre-election:** equals one in the year before the relevant election;
- **Post-election:** equals one in the year after the relevant election;
- alternative election-year definitions based on April–March and July–June windows.

2.4 Main dependent variable

The main outcome is the change in bank loans scaled by lagged total assets:

$$y_{it} = \frac{\text{Loans}_{it} - \text{Loans}_{i,t-1}}{\text{Assets}_{i,t-1}}.$$

This scaling makes the lending increase comparable across banks of different sizes. It also turns the coefficient on the election interaction into an economically interpretable percentage of lagged bank assets.

2.5 Bank-level controls

The main regressions control for two bank-level variables, measured at $t - 1$:

- **Bank size:** total assets divided by the country’s GDP,

$$\frac{\text{Assets}_{i,t-1}}{\text{GDP}_{c,t-1}}.$$

This controls for the bank’s size relative to the domestic economy.

- **Capital ratio:** equity divided by total assets,

$$\frac{\text{Equity}_{i,t-1}}{\text{Assets}_{i,t-1}}.$$

This controls for bank capitalization and lending capacity.

These bank-level controls are treated as sequentially exogenous rather than strictly exogenous because past lending can affect future bank size and capitalization.

2.6 Macroeconomic controls

The paper also checks robustness to macroeconomic variables:

- log GDP per capita;
- GDP growth;
- government budget surplus as a share of GDP;
- inflation;
- exchange-rate change against the U.S. dollar.

These variables address the possibility that election-year lending reflects general macroeconomic cycles rather than political use of government-owned banks.

3 Empirical specification and interpretation

3.1 Baseline difference-in-differences equation

The main empirical specification is:

$$y_{it} = \beta' x_{ct} + \gamma' w_{i,t-1} + \delta \text{Election}_{ct} + \theta (\text{Election}_{ct} \times \text{GovtBank}_{it}) + \eta_t + \alpha_i + u_{it}. \quad (1)$$

Here:

- y_{it} is the change in loans scaled by lagged assets;
- x_{ct} contains country-level variables such as GDP per capita or other macro controls;
- $w_{i,t-1}$ contains lagged bank controls such as size and capital ratio;
- Election_{ct} is a country-year election dummy;
- GovtBank_{it} is the government-ownership dummy;
- η_t are year fixed effects;
- α_i are bank fixed effects;
- u_{it} is the error term.

3.2 Coefficient of interest

The key coefficient is θ on:

$$\text{Election}_{ct} \times \text{GovtBank}_{it}.$$

This coefficient asks:

In election years, do government-owned banks change their lending more than private banks in the same broad environment?

If $\theta > 0$, then government-owned banks expand lending in election years relative to private banks. This is the main evidence of political influence.

3.3 Role of the election dummy

The coefficient δ on Election_{ct} captures the election-year effect for private banks, since $\text{GovtBank}_{it} = 0$ for private banks. If elections generate economy-wide uncertainty or macroeconomic shocks that affect all banks equally, this coefficient should pick up that common effect.

The interaction coefficient θ is therefore not just an election-year lending change. It is the additional election-year lending change for government-owned banks relative to private banks.

3.4 Role of bank fixed effects

Bank fixed effects α_i remove permanent bank-specific differences. This is crucial because government-owned banks and private banks may differ in many persistent ways:

- business model;
- average profitability;
- risk tolerance;
- regional mandate;
- political connections;
- size and historical role in the banking system.

The paper is not simply comparing government-owned banks with private banks. It compares how the same bank's lending changes around elections, relative to private banks experiencing the same election environment.

3.5 Role of year effects

Year fixed effects η_t remove global time shocks common to all countries, such as international credit conditions or worldwide emerging-market events. This helps prevent the estimates from confusing election timing with a global credit cycle.

3.6 Sequential exogeneity and estimation

The paper explicitly recognizes that bank controls such as size and capital ratio can be affected by past lending. For example, loans are part of assets, and banks may adjust capital after lending changes.

The error assumptions are:

$$\mathbb{E}[u_{it} \mid x_{i1}, \dots, x_{iT}] = 0, \quad (2)$$

$$\mathbb{E}[u_{it} \mid w_{i1}, \dots, w_{i,t-1}] = 0. \quad (3)$$

The strictly exogenous variables may be conditioned on across the full panel, while bank-level controls are only assumed valid using their past values. Because of this structure, the paper eliminates fixed effects by first-differencing and uses lagged values of sequentially exogenous variables as instruments.

Standard errors are heteroskedasticity-robust and clustered at the country level. This also allows for bank-level autocorrelation because banks are nested within countries.

4 Identification and credibility

4.1 Identification logic

The identification strategy relies on four comparisons at once:

1. government-owned banks versus private banks;
2. election years versus non-election years;
3. banks within the same country environment;
4. repeated observations over time for the same bank.

The design is strongest if the only reason government-owned banks behave differently around election years is political influence, not a coincidental change in fundamentals affecting only those banks.

4.2 Why elections are useful events

Elections are useful because they create predictable political incentives. Incumbent politicians may benefit from expanding credit before or during campaigns. Increased lending can help favored firms, regions, public-sector allies, or voters indirectly through employment and liquidity.

Importantly, elections occur in different years across countries. This makes it harder for the estimated effect to be driven by a single global shock.

4.3 Why private banks are the control group

Private banks in the same country face many of the same macroeconomic and institutional conditions as government-owned banks:

- same national election;
- same broad macroeconomic environment;
- same currency and monetary policy;
- same banking regulation;
- same legal system;
- same country-level shocks.

Therefore, private banks help control for general election-year changes in credit demand, uncertainty, or macroeconomic conditions.

4.4 Main threats to interpretation

The key threats are:

- **Macroeconomic cycles.** Elections may coincide with booms, recessions, inflation, exchange-rate movements, or fiscal policy changes.
- **Different bank balance-sheet sensitivities.** Government-owned banks may mechanically react differently to capital or size conditions.
- **Election timing.** Calendar-year election definitions may misclassify lending that occurs shortly before early-year elections.

- **Sample construction.** Mergers, failures, and missing data could affect which banks remain in the panel.
- **Non-election political influence.** Politicians may influence state banks even outside election years, which would make the election-year estimate only a partial measure of political lending.

4.5 How the paper addresses these threats

The paper responds with several robustness checks:

- adds macroeconomic controls one at a time;
- interacts macro variables with election-year indicators;
- interacts macro variables with government ownership;
- allows bank-level controls to have different slopes for government-owned banks;
- uses alternative election-year windows;
- estimates the model on replacement, balanced, and equal-bank-count samples;
- checks pre-election and post-election years separately.

Across these checks, the main emerging-market result remains: government-owned banks lend more in election years relative to private banks.

4.6 What the design does not prove

The paper does not identify exactly which borrowers receive the extra credit, because loan-level borrower data are unavailable. It also does not directly observe whether the extra loans are bad loans, politically connected loans, or subsidies. The evidence is instead balance-sheet evidence of politically timed lending.

The paper is therefore strongest on the following claim:

Government-owned banks in emerging markets expand lending around elections in a way that private banks do not.

It is less direct on the deeper allocation question:

Which firms, voters, sectors, or regions receive the election-year credit?

5 Tables and results

5.1 Table 1: Bank ownership around the world in 1994

Read: Government ownership of banks is common. In the broader initial sample, 39% of the large banks are government-owned at the 20% threshold or higher. The share is especially high in

Table 1

Bank ownership around the world in 1994

The table gives the ownership structure of the ten largest banks by assets as of 1994. *Private* denotes banks with government ownership of less than 20%. *GovtBank* denotes the banks that are owned, directly or indirectly, by the government at least at a 20% level.

	Private	GovtBank	Total
Emerging markets			
Argentina	6	4	10
Brazil	6	4	10
Chile	9	1	10
Colombia	5	5	10
Czech Republic	5	5	10
Hungary	2	8	10
Israel	4	6	10
South Korea	5	5	10
Malaysia	7	3	10
Mexico	6	4	10
Peru	8	2	10
Philippines	8	2	10
Poland	1	9	10
Russia	7	3	10
Singapore	8	2	10
South Africa	7	3	10
Thailand	5	5	10
Turkey	5	5	10
Venezuela	7	3	10
Total	111	79	190
Developed economies			
Australia	7	3	10
Austria	4	6	10
Belgium	8	2	10
Finland	5	3	8
France	8	2	10
Germany	6	4	10
Greece	5	5	10
Iceland	2	2	4
Ireland	8	2	10
Italy	5	5	10
Luxembourg	9	1	10
Netherlands	7	3	10
Norway	5	5	10
Portugal	3	7	10
Spain	5	5	10
Sweden	6	4	10
Switzerland	5	5	10
Total	98	64	162

Countries with only private or government banks among ten largest banks in 1994

Emerging markets			
India	0	10	10
Taiwan	0	10	10
Total	0	20	20

Table 1 (*continued*)

	Private	GovtBank	Total
Developed economies			
Canada	10	0	10
Denmark	10	0	10
Japan	10	0	10
UK	10	0	10
USA	10	0	10
Total	50	0	50
Total (whole sample)	259	163	422

emerging markets: 47% of banks in emerging markets are government-owned, compared with 30% in developed economies.

Details: In the main mixed-ownership sample, emerging markets include 111 private banks and 79 government-owned banks. Developed economies include 98 private banks and 64 government-owned banks.

Economic message: Government ownership is not a small residual category. In many countries, especially emerging markets, the state directly controls a substantial part of the banking system. This makes political influence through banks economically plausible.

5.2 Table 2: Available bank-year observations

Read: The largest possible sample would contain 360 banks over seven years, or 2,520 bank-years. After accounting for Finland and Iceland having fewer than ten banks, mergers, acquisitions, closings, and missing data, the main unbalanced panel contains 349 banks and 2,058 bank-years.

Emerging-market sample: 189 banks and 1,067 bank-years.

Developed-economy sample: 160 banks and 991 bank-years.

Economic message: The panel is broad enough for cross-country bank-level analysis, but attrition is nontrivial. This motivates later robustness checks using alternative samples.

Table 2
The sample

The table gives the number of banks and bank-years available for regression analysis. The sample constructed with the ten largest banks in 1994 in each country that had at least one private and one government-owned bank among the ten largest banks in 1994. Each bank joins the sample in 1994 and is followed until it exits or until the end of 2000. *Unbalanced Panel* includes the banks that exit the sample before 2000 due to mergers, acquisitions, or closings. Banks that are taken over by the government due to their failure but that continue their operations under government management remain in the sample but are classified as government-owned banks after the take-over. If no balance sheet data are available for the two years before a bank joins the sample, the number of bank-years available for regression analysis decreases due to the lagged variables used. This loss is included in the *Missing Data* row and reflected in the final size of each panel.

	World (36 countries)		Emerging markets (19 countries)		Developed economies (17 countries)	
	Bank	Bank-year	Bank	Bank-year	Bank	Bank-year
Largest possible sample	360	2520	190	1330	170	1190
Ten banks in each country for seven years						
Lost due to fewer than ten banks in Finland and Iceland	8	56	—	—	8	56
Lost due to mergers, acquisitions, closings	—	296	—	170	—	126
Missing data		110	1	93	2	17
Remaining (unbalanced) panel	349	2058	189	1067	160	991

Table 3
Sample statistics
Private denotes the banks with government ownership less than 20%. GovtBank denotes the banks that are owned, directly or indirectly, by the government at least at the 20% level. Change in Loans (t) is Loans (t)–Loans (t–1) and normalized by Assets (t–1). Capital ratio is equity divided by total assets. All variables are book values. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively, in a two-sided test of the mean with the government-owned banks and the private banks.

		Emerging markets			Developed economies			World		
		Private	GovtBank	All	Private	GovtBank	All	Private	GovtBank	All
Assets (in \$B)	Mean	8.688	15.465***	11.355	79.000	49.555***	68.629	43.708	30.935***	38.935
	sd.	11.785	19.672	15.724	119.917	72.265	106.511	91.995	53.533	80.046
	N	647	420	1067	642	349	991	1289	769	2058
Loans/assets	Mean	0.564	0.548	0.558	0.519	0.549**	0.530	0.542	0.548	0.544
	sd.	0.161	0.204	0.179	0.203	0.221	0.210	0.184	0.212	0.195
	N	647	420	1067	642	349	991	1289	769	2058
Change in loans	Mean	0.064	0.024***	0.048	0.058	0.015***	0.043	0.061	0.020***	0.045
	sd.	0.166	0.146	0.159	0.141	0.092	0.128	0.154	0.124	0.145
	N	649	420	1067	642	349	991	1289	769	2058
Treasury securities/assets	Mean	0.091	0.133***	0.108	0.117	0.114	0.116	0.103	0.125***	0.111
	sd.	0.088	0.136	0.111	0.111	0.101	0.108	0.1	0.123	0.11
	N	476	314	790	428	217	645	904	531	1435
Deposits/assets	Mean	0.742	0.696***	0.724	0.726	0.644***	0.697	0.734	0.672***	0.711
	sd.	0.141	0.21	0.173	0.164	0.255	0.204	0.153	0.233	0.189
	N	644	414	1058	642	343	985	1286	757	2043
Operating income/assets	Mean	0.016	0.004***	0.012	0.008	0.004***	0.007	0.012	0.004***	0.009
	sd.	0.028	0.047	0.037	0.009	0.009	0.009	0.021	0.035	0.028
	N	638	412	1050	628	343	971	1266	755	2021
Capital ratio	Mean	0.101	0.095	0.098	0.052	0.051	0.051	0.076	0.075	0.076
	sd.	0.072	0.097	0.083	0.026	0.046	0.034	0.059	0.081	0.068
	N	647	420	1067	642	349	991	1289	769	2058

5.3 Table 3: Descriptive statistics

Read: Government-owned banks and private banks differ substantially even before the election analysis.

In emerging markets:

- average government-owned bank assets are about \$15.5 billion, compared with \$8.7 billion for private banks;
- loans/assets are similar but slightly lower for government-owned banks: 0.548 versus 0.564;
- loan growth scaled by lagged assets is much lower for government-owned banks on average: 0.024

versus 0.064;

- government-owned banks hold more treasury securities: 0.133 of assets versus 0.091 for private banks;
- deposits/assets are lower at government-owned banks: 0.696 versus 0.742;
- operating income/assets is lower at government-owned banks: 0.004 versus 0.016;
- capital ratios are similar and not statistically different.

Economic message: Government-owned banks are not just private banks with a different label. They are larger, less profitable, hold more government securities, and grow loans more slowly on average. This makes the fixed-effect difference-in-differences strategy essential.

5.4 Table 4: Main election-year lending results

Table 4
Elections and bank lending

The dependent variable is the increase in the total loans that year normalized by total assets from the previous year, i.e., $(Loans(t) - Loans(t-1))/Total\ Assets(t-1)$. $Total\ Assets/GDP$ is the bank's total assets normalized by that country's GDP; $Capital\ Ratio$ is total equity divided by total assets; both variables are as of year $t-1$ and instrumented with their lagged values ($t-2$). $Election$ is a dummy variable that equals one in the year of elections; $Govtbank$ is a dummy variable that equals one if the bank is owned, directly or indirectly, by the government at least at the 20% level that year. Heteroskedasticity-robust standard errors, corrected for clustering at the country level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively. F -test is a statistic to test the hypothesis that all the explanatory variables are jointly zero.

	World			Emerging markets			Developed economies		
Total Assets/GDP	-0.000 (0.001)	-0.001 (0.001)	-0.000 (0.001)	0.001* (0.001)	0.001 (0.001)	0.001* (0.001)	-0.081 (1.259)	-0.037 (1.153)	-0.036 (1.148)
Capital Ratio	2.696* (1.524)	2.688* (1.528)	2.693* (1.525)	0.100 (0.399)	0.089 (0.399)	0.112 (0.387)	6.385*** (0.527)	6.416*** (0.490)	6.417*** (0.491)
Election		-0.009 (0.008)	-0.020* (0.010)		-0.009 (0.014)	-0.031* (0.015)		-0.015 (0.011)	-0.013 (0.015)
Election*Govtbank			0.027* (0.015)			0.055* (0.023)			-0.005 (0.023)
Ln (GDP per capita)	0.244** (0.094)	0.254*** (0.092)	0.251*** (0.092)	0.337*** (0.106)	0.346*** (0.100)	0.342*** (0.100)	0.303 (0.191)	0.332* (0.180)	0.333* (0.182)
Bank fixed effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Number of banks	349	349	349	189	189	189	160	160	160
Number of bank-years	2058	2058	2058	1067	1067	1067	991	991	991
p-value of F-test	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000

Table 5
Elections and bank lending in emerging markets: controlling for macroeconomic factors

The dependent variable is the increase in the total loans that year normalized by total assets from the previous year, i.e., $(Loans(t) - Loans(t-1))/Total\ Assets(t-1)$. $Total\ Assets/GDP$ is the bank's total assets normalized by that country's GDP; $Capital\ Ratio$ is total equity divided by total assets; both variables are as of year $t-1$ and instrumented with their lagged values ($t-2$). $Election$ is a dummy variable that equals one in the year of elections; $Govtbank$ is a dummy variable that equals one if the bank is owned, directly or indirectly, by the government at least at the 20% level that year. $Budget\ surplus$ is the government budget surplus as a percentage of GDP and takes a negative value when the government runs a deficit. $Exchange\ rate\ change$ is the change in the exchange rate of the domestic currency against the U.S. dollar from the previous year; it is negative if the currency depreciates against the dollar that year. Heteroskedasticity-robust standard errors, corrected for clustering at the country level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively. F -test is a statistic to test the hypothesis that all the explanatory variables are jointly zero.

Panel A. Macroeconomic variables

Total assets/GDP	0.001* (0.001)	0.000 (0.000)	0.001 (0.001)	-0.094 (0.118)	-0.000 (0.001)
Capital ratio	0.112 (0.387)	-0.158 (0.328)	-0.249 (0.274)	-0.126 (0.332)	-0.146 (0.334)
Election	-0.031* (0.015)	-0.024 (0.015)	-0.008 (0.020)	-0.015 (0.018)	-0.020 (0.018)
Election*Govtbank	0.055** (0.023)	0.057** (0.025)	0.048** (0.022)	0.057** (0.025)	0.058** (0.025)
Ln (Gdp per capita)	0.342*** (0.100)				
GDP growth		0.009*** (0.002)			
Budget surplus			0.873* (0.460)		
Inflation rate				0.042 (0.155)	
Exchange rate change					0.015*** (0.004)

Read: The key coefficient is Election $\times$ GovtBank.

For the full world sample:

$$\hat{\theta} = 0.027^*.$$

For emerging markets:

$$\hat{\theta} = 0.055^{**}.$$

For developed economies:

$$\hat{\theta} = -0.005,$$

which is statistically insignificant.

Interpretation: In emerging markets, government-owned banks increase lending in election years by about 5.5 percentage points of lagged assets relative to private banks.

Economic message: The politically timed lending effect is an emerging-market phenomenon. The result is not a universal property of all state-owned banks everywhere.

5.5 Table 5: Macroeconomic controls

Table 5 (continued)

Panel A. Macroeconomic variables

Bank fixed effects	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes
Number of banks	189	189	185	189	189
Number of bank-years	1067	1067	988	1067	1061
p-value of F-test	0.000	0.000	0.000	0.000	0.000

Panel B. Macroeconomic variables interacted with the Election dummy

Total assets/GDP	0.001 (0.001)	0.000 (0.000)	0.001 (0.001)	-0.162 (0.157)	0.001 (0.001)
Capital ratio	0.111 (0.385)	-0.155 (0.328)	-0.257 (0.276)	-0.249 (0.367)	-0.132 (0.331)
Election	-0.176 (0.142)	-0.027 (0.019)	-0.004 (0.022)	-0.033** (0.016)	2.142*** (0.709)
Election*Govtbank	0.055** (0.023)	0.056** (0.025)	0.050** (0.023)	0.056** (0.025)	0.062** (0.022)
Ln (Gdp per capita)	0.340*** (0.099)				
Ln (Gdp per capita)*Election	0.017 (0.016)				
GDP growth		0.008*** (0.002)			
GDP growth*Election		0.001 (0.004)			
Budget surplus			0.868* (0.452)		
Budget surplus*Election			0.220 (0.435)		
Inflation rate				0.123 (0.107)	
Inflation rate*Election				-0.462*** (0.149)	
Exchange rate change					0.092** (0.035)
Exchange rate change*Election					-0.081** (0.033)
Bank fixed effects	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes
Number of banks	189	189	185	189	189
Number of bank-years	1067	1067	988	1067	1061
p-value of F-test	0.000	0.000	0.000	0.000	0.000

Panel C. Macroeconomic variables interacted with government ownership

Total assets/GDP	0.001* (0.001)	0.000 (0.000)	0.001 (0.001)	-0.086 (0.206)	0.000 (0.001)
Capital ratio	0.119 (0.384)	-0.138 (0.321)	-0.254 (0.280)	-0.127 (0.332)	-0.137 (0.331)

Table 5 (continued)

Panel C. Macroeconomic variables interacted with government ownership

Election	-0.032** (0.015)	-0.025 (0.015)	-0.007 (0.020)	-0.015 (0.018)	-0.021 (0.018)
Election*Govtbank	0.057** (0.023)	0.058** (0.025)	0.045* (0.022)	0.057** (0.025)	0.060** (0.025)
Ln (Gdp per capita)	0.342*** (0.100)				
Ln (Gdp per capita)*Govtbank	-0.003 (0.004)				
GDP growth		0.010*** (0.003)			
GDP growth*Govtbank		-0.004 (0.002)			
Budget surplus			1.001* (0.549)		
Budget surplus*Govtbank			-0.410 (0.485)		
Inflation rate				0.042 (0.155)	
Inflation rate*Govtbank				-0.006 (0.009)	
Exchange rate change					0.015*** (0.004)
Exchange rate change*Govtbank					0.001 (0.014)
Bank fixed effects	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes
Number of banks	189	189	185	189	189
Number of bank-years	1067	1067	988	1067	1061
p-value of F-test	0.000	0.000	0.000	0.000	0.000

Read: The paper adds macroeconomic variables: GDP per capita, GDP growth, budget surplus, inflation, and exchange-rate change. It also interacts these variables with election dummies and with the government-ownership dummy.

Across these specifications, the coefficient on Election $\times$ GovtBank remains positive and statistically significant, generally around:

$$0.048 \text{ to } 0.058.$$

Economic message: The election-year lending result is not simply a reflection of macroeconomic expansions, fiscal cycles, inflation, exchange-rate movements, or different macro sensitivities of government-owned banks.

5.6 Table 6: Different slopes for government-owned banks

Read: The paper allows bank size and capital ratio to have different effects for government-owned banks. The capital ratio has a significantly different slope for government-owned banks, suggesting that capital constraints operate differently for state banks.

But the election interaction remains positive:

$$\hat{\theta} = 0.051^{**} \text{ to } 0.055^{**}.$$

Economic message: The main result is not caused by government-owned banks having different ordinary lending responses to size or capitalization. The election timing still matters.

Table 6
Elections and bank lending in emerging markets: controlling for different slopes

The dependent variable is the increase in the total loans that year normalized by total assets from the previous year, i.e., $(Loans(t) - Loans(t-1))/Total\ Assets(t-1)$. $Total\ Assets/GDP$ is the bank's total assets normalized by that country's GDP; $Capital\ Ratio$ is total equity divided by total assets; both variables are as of year $t-1$ and instrumented with their lagged values ($t-2$). $Election$ is a dummy variable that equals one in the year of elections; $Govtbank$ is a dummy variable that equals one if the bank is owned, directly or indirectly, by the government at least at the 20% level that year. Heteroskedasticity-robust standard errors, corrected for clustering at the country level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively. F -test is a statistic to test the hypothesis that all the explanatory variables are jointly zero.

Total assets/GDP	0.005 (0.003)	0.004 (0.004)	0.002 (0.004)	0.001 (0.001)	0.001 (0.001)	0.001 (0.001)
(Total assets/GDP)*Govtbank	-0.004 (0.003)	-0.004 (0.003)	-0.001 (0.003)			
Capital ratio	0.084 (0.408)	0.075 (0.409)	0.109 (0.396)	1.524** (0.619)	1.516** (0.617)	1.533** (0.603)
Capital ratio*Govtbank				-1.790** (0.551)	-1.788** (0.554)	-1.782** (0.547)
Election		-0.009 (0.014)	-0.031* (0.016)			
Election*Govtbank			0.055** (0.023)			
Ln (GDP per capita)	0.338*** (0.107)	0.348*** (0.101)	0.343*** (0.101)	0.299** (0.114)	0.305** (0.109)	0.301** (0.109)
Bank fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Number of banks	189	189	189	189	189	189
Number of bank-years	1067	1067	1067	1067	1067	1067
Prob > F	0.000	0.000	0.000	0.000	0.000	0.000

Table 7
Elections and bank lending in emerging markets: timing of elections

The dependent variable is the increase in the total loans that year normalized by total assets from the previous year, i.e., $(Loans(t) - Loans(t-1))/Total\ Assets(t-1)$. $Total\ Assets/GDP$ is the bank's total assets normalized by that country's GDP; $Capital\ Ratio$ is total equity divided by total assets; both variables are as of year $t-1$ and instrumented with their lagged values ($t-2$). $Election$ is a dummy variable that equals one in the year of elections; $Govtbank$ is a dummy variable that equals one if the bank is owned, directly or indirectly, by the government at least at the 20% level that year. With the *April–March Election Year* convention, year t is an election year if the election takes place between April of year t and March of year $t+1$. With the *July–June Election Year* convention, year t is an election year if the election takes place between July of year t and June of year $t+1$. Heteroskedasticity-robust standard errors, corrected for clustering at the country level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively. F -test is a statistic to test the hypothesis that all the explanatory variables are jointly zero.

	April–March Election Year		July–June Election Year	
Total assets/GDP	0.001 (0.001)	0.001* (0.001)	0.001** (0.001)	0.002** (0.001)
Capital ratio	0.085 (0.396)	0.093 (0.385)	0.085 (0.400)	0.042 (0.408)
Election	-0.008 (0.012)	-0.037** (0.014)	0.008 (0.013)	-0.009 (0.014)
Election*Govtbank		0.070** (0.026)		0.040* (0.023)
Ln (GDP per capita)	0.344*** (0.103)	0.341*** (0.102)	0.333*** (0.103)	0.339*** (0.103)
Bank fixed effects	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes
Number of banks	189	189	189	189
Number of bank-years	1067	1067	1067	1067
p-value of F-test	0.000	0.000	0.000	0.000

5.7 Table 7: Timing of elections

Read: The paper changes the definition of an election year.

Using an April–March election-year window:

$$\hat{\theta} = 0.070^{**}.$$

Using a July–June election-year window:

$$\hat{\theta} = 0.040^{*}.$$

Economic message: The effect survives alternative timing definitions. The larger April–March estimate suggests that lending may be concentrated close to elections, especially when elections occur early in a calendar year.

5.8 Table 8: Alternative samples

Read: The paper re-estimates the main model using three alternative samples:

- sample with replacement for exiting banks;
- balanced panel of banks surviving through 2000;
- sample with the same number of private and government-owned banks per country.

The interaction coefficient is:

- 0.038 in the replacement sample, with a p -value around 0.13;
- 0.071** in the balanced panel;

- 0.041 in the equal-bank-count sample, with a p -value around 0.16.

Economic message: The sign remains positive across alternative samples. Statistical power is weaker when banks spend fewer years in the panel or when the sample includes smaller, less comparable banks.

Table 8
Elections and bank lending in emerging markets: different samples

The dependent variable is the increase in the total loans that year normalized by total assets from the previous year, i.e., $(Loans(t) - Loans(t-1))/Total\ Assets(t-1)$. $Total\ Assets/GDP$ is the bank's total assets normalized by that country's GDP; $Capital\ Ratio$ is total equity divided by total assets; both variables are as of year $t-1$ and instrumented with their lagged values ($t-2$). $Election$ is a dummy variable that equals one in the year of elections; $Govtbank$ is a dummy variable that equals one if the bank is owned, directly or indirectly, by the government at least at the 20% level that year. *Sampling with Replacement* replaces a bank that exits the original sample before 2000 by a bank among the ten largest banks in that country in that year. *Balanced Panel* includes only banks that remain in the original sample until 2000. The sample with the *Same Number of Private and Government-Owned* banks has five largest private banks and five largest government-owned banks as of 1994; if a country does not have five private or government-owned bank, the highest equal number of banks are included for that country. Heteroskedasticity-robust standard errors, corrected for clustering at the country level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively. F is a statistic to test the hypothesis that all the explanatory variables are jointly zero.

	Sampling with replacement		Balanced panel		Same number of private and government-owned bank		
Total assets/GDP	0.001** (0.000)	0.001** (0.001)	0.001*** (0.000)	0.001* (0.000)	0.001** (0.001)	0.001* (0.001)	0.001* (0.001)
Capital ratio	0.655 (0.577)	0.649 (0.572)	0.662 (0.568)	0.308 (0.293)	0.302 (0.292)	0.338 (0.276)	0.059 (0.341)
Election	-0.065 (0.014)	-0.020 (0.017)	-0.013 (0.013)	-0.043** (0.011)	-0.043** (0.011)	0.004 (0.014)	-0.015 (0.019)
Election*Govtbank		0.038 (0.024)	0.326*** (0.074)	0.340*** (0.071)	0.329*** (0.068)	0.310*** (0.097)	0.306*** (0.092)
Ln (GDP per capita)	0.441*** (0.091)	0.447*** (0.095)	0.445*** (0.095)	0.445*** (0.074)	0.445*** (0.071)	0.445*** (0.068)	0.445*** (0.091)
Bank fixed effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Number of banks	231	231	231	135	135	135	156
Number of bank-years	1204	1204	1204	886	886	886	925
p -value of F -test	0.000	0.000	0.000	0.000	0.000	0.000	0.000

Table 9

Bank lending in emerging markets: before and after elections

The dependent variable is the increase in the total loans that year normalized by total assets from the previous year, i.e., $(Loans(t) - Loans(t-1))/Total\ Assets(t-1)$. $Total\ Assets/GDP$ is the bank's total assets normalized by that country's GDP; $Capital\ Ratio$ is total equity divided by total assets; both variables are as of year $t-1$ and instrumented with their lagged values ($t-2$). $Pre_election$ and $Post_election$ are dummy variables that take 1 in the year preceding and following the elections, respectively. $Govtbank$ is a dummy variable that equals one if the bank is owned, directly or indirectly, by the government at least at the 20% level that year. Heteroskedasticity-robust standard errors, corrected for clustering at the country level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively. F -test is a statistic to test the hypothesis that all the explanatory variables are jointly zero.

	Pre-election		Post-election	
Total assets/GDP	0.001 (0.001)	0.001 (0.001)	-0.006 (0.122)	-0.006 (0.122)
Capital ratio	0.105 (0.401)	0.127 (0.395)	0.159 (0.288)	0.151 (0.289)
Pre-election	0.014 (0.012)	0.024 (0.016)		
Pre-election*Govtbank		-0.021 (0.023)		
Post-election			-0.007 (0.012)	-0.001 (0.013)
Post-election*Govtbank				-0.013 (0.019)
Ln (GDP per capita)	0.343*** (0.104)	0.340*** (0.103)	0.331*** (0.103)	0.331*** (0.103)
Bank fixed effects	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes
Number of banks	189	189	189	189
Number of bank-years	1063	1063	1067	1067
p -value of F -test	0.000	0.000	0.000	0.000

5.9 Table 9: Pre-election and post-election years

Read: The paper checks whether government-owned banks behave differently in the year before or after elections.

The interaction coefficients are insignificant:

$$\text{Pre-election} \times \text{GovtBank} = -0.021,$$

$$\text{Post-election} \times \text{GovtBank} = -0.013.$$

Economic message: The effect is concentrated in election years. It is not simply a slow pre-election buildup or a post-election rebound by private banks.

6 Short summary

6.1 What the paper asks

The paper asks whether politicians use government-owned banks for electoral purposes. The specific test is whether these banks expand lending in election years relative to private banks.

6.2 What the paper does

The paper builds a cross-country bank-level panel of large banks from 1994 to 2000, hand-collects government ownership, identifies general elections, and estimates difference-in-differences regressions

with bank fixed effects and year fixed effects.

6.3 What the paper finds

In emerging markets, government-owned banks increase lending in election years relative to private banks. The main coefficient implies an extra increase of about 5.5 percentage points of lagged assets, or about 11% of a government-owned bank's loan portfolio.

6.4 Why the result is credible

The result survives controls for macroeconomic conditions, different slopes for government-owned banks, different election-year definitions, alternative samples, and checks for pre- and post-election years.

6.5 Why it matters

The paper gives direct evidence for a political channel through which state ownership of banks can distort credit allocation. It complements broader findings that government ownership of banks is associated with weaker financial development, lower growth, and greater crisis risk.

7 Conclusion

7.1 Core conclusion

Government-owned banks in emerging markets increase lending in election years relative to private banks. This pattern is difficult to explain as a general macroeconomic election-year effect because private banks in the same countries do not display the same lending response.

7.2 Economic intuition

Politicians who control banks can use credit as a political resource. Lending can be expanded before or during elections to support favored borrowers, constituencies, or regions. Because banks operate across the economy and loan quality is hard for outsiders to observe, state-owned banks are particularly useful vehicles for hidden political redistribution.

7.3 Policy implication

Fiscal and monetary restrictions alone may not fully constrain election-year political spending if politicians can use government-owned banks off-budget. State banks can create quasi-fiscal transfers through credit expansion even when formal government budgets appear constrained.

7.4 Limits and future research

The paper does not observe individual borrowers, loan terms, or loan performance. Future research can ask which borrowers receive the extra election-year credit, whether these loans default more often, and how the political lending channel affects long-run bank health and economic growth.

7.5 Takeaway

Bank ownership is not politically neutral. In emerging markets, government ownership of banks gives politicians a tool for electoral credit expansion, and this tool is visible in bank balance sheets around election years.